

Unlock New Revenue Opportunities Fast with a Parallel Banking Core



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Banking in 2022 is all about rapid business transformations as the global ecosystem reorganizes in the wake of the pandemic. To maneuver quickly to new opportunities, banks, credit unions and financial institutions need agile and flexible technology that allows them to experiment and innovate. Modern technology is a prerequisite to getting comfortable with the high velocity of change and upheaval in today's world.

Customer expectations are evolving, global networks are increasingly enmeshed and new entrants are redefining the banking space. Against this backdrop, the divergence between industry leaders and followers will continue to widen in the coming years. The financial institutions on top will be the ones that look and act more like tech firms in their speed of innovation. That means traditional banks will be motivated to adapt, bring new products to market much faster and be open to exploring novel partnerships of all kinds. "Banks are now expected to process transactions in real time, be able to stitch together partnerships with fintech companies in a matter of weeks, release new features frequently, be able to scale (up and down) their infrastructure needs at will, and even execute on M&A quickly," according to McKinsey's annual review of global banking. Top banking giants, like Citibank, Goldman Sachs and JP Morgan Chase, are heavily investing in buying their way into the fintech space.

Meanwhile, two innovative neobanks — WeBank and NuBank — were highlighted by McKinsey as exemplifying the accelerated pace of modern banking. The first is WeBank of Shenzhen, a Chinese all-digital bank, which grew one of largest user bases in the world in just a few short years since launching in 2014. That's a far cry from the traditional growth rate in banking, and such whirlwind activity in new markets requires the support of robust core technology. WeBank's banking app typically launches up to 1,000 updates per month and goes from ideation to production in a span of only ten or 11 days.

The other is Brazil's Nubank, the largest Latin American financial institution, which has about 48 million users and a market capitalization of \$52 billion as of December 2021. Its exceptional rate of growth resulted from tapping behavioral data and proprietary algorithms to extend credit to millions of previously unbanked customers. The neobank is also a pioneer of e-commerce in its app, allowing customers to shop, order and pay e-tailers directly from Nubank.

The lesson of these revolutionary banking models is that fortune favors the bold in the current economy. Forward-thinking banks and credit unions are working to be more agile and fast-moving like the fintechs and big techs that are shaping the world as it begins to emerge from the pandemic. By investing in the latest cloud-native core banking platforms, traditional banks can radically modernize to meet this critical moment. History teaches that after a major calamity, "institutions that take bold steps toward growth in the first years after a crisis generally hold on to those gains for the longer term," according to McKinsey.



Centering on the customer

Global banking forecasts anticipate revenue to shift toward origination and digital distribution — higher ROE activities that are driven by customer ownership — with a smaller proportion coming from traditional bread-and-butter banking. Rather than depending too much on balance sheet banking activities, McKinsey analysts note that banks of all sizes will be competing with fintechs and nonbank brands for the attention and loyalty of customers. Given that the majority of revenue growth will come from transactions, payments, new lending and digitally distributed investment banking, the time is right for financial institutions to invest in core technology that gives them the ability to capitalize on this fundamental shift.

For banks and financial institutions, the way forward calls for centering their businesses on the customer rather than along traditional product lines. Institutions must consider their existing core banking systems and whether they are adequate to developing and offering richer customer experiences:

- When developing new products, does it take several months to schedule a change in the core system?
- Is the core system architecture monolithic and inflexible, requiring complex code changes just to change a basic feature or interest rate?
- Can the existing core interface easily with other systems via APIs, making partnerships possible?

A modern core is modular so it significantly speeds the time to market for new products compared to monolithic mainframe and server-based legacy cores.

If the existing core system is a roadblock to new growth, banks and financial institutions will need to update their back-end technologies to cloud-based core platforms for customer account records and transaction processing. Traditional banks that rely on COBOL-based mainframe core infrastructure are severely hampered in introducing add-on services and API-driven modular fintech components. Certainly, most banks today are steadily reviewing their core banking platforms and addressing the headaches presented by legacy tech and coding languages, but creative thinkers can sidestep legacy tech limitations by migrating to a new parallel core. Moving to a modern banking core makes speed and innovation more comfortable, possible and even inevitable.

Why a parallel, modern core?

To modernize operations, the shortest path forward for many financial institutions is to add a parallel cloud-based banking core while continuing to run the legacy back-end systems for the near term. Converting their core architecture platform wholesale to a modern core can require years of lead time, according to McKinsey. To avoid the lengthy timeline and expense of a full "rip and replace" approach, banks can transform their operations rapidly and efficiently by selectively modernizing their core. This could mean decoupling some technology layers, such as customer data or user interface data, and replacing them with modern, open-API technology.

This "side core" approach provides an opportunity to test-drive a state-of-the-art core while postponing the expense and hassle of a complete core conversion — all while immediately achieving the advantages and functionality of a cloud-first core. Financial institutions that take this route will be able to reserve more IT budget for immediate priorities and be ready to leap forward.

A modern core is modular so it significantly speeds the time to market for new products compared to monolithic mainframe and server-based legacy cores. Building up and out from existing banking core infrastructure is an efficient and cost-effective approach to business transformation compared to a complete core conversion — that could require tens to hundreds of millions of dollars and a potential lead time of two or three years.

A next-generation banking core in parallel to the existing legacy core and tech stack accelerates your institution's ability to provide customers with the most appealing products and services and to jump on new partnership opportunities. With an additional modern core, your institution will be ready to advance at the speed of today's market.

Benefits of an additional core (Nymbus Core)

GROWTH

- Run a core parallel to your existing core and tech stack
- Gather valuable data and insights
- Modular BaaS solution for new revenue streams

COLLABORATION

- Seamlessly integrate with other fintechs and brands
- Fully supported open banking for BaaS operability
- Aggregate capabilities across the banking ecosystem

INNOVATION

- Fully migrate to a state of the art platform
- Flexible cloud-based solution for expandability
- Operate in a fully compliant ecosystem

CUSTOMER EXPERIENCE

- Offer cutting-edge products and services
- Leverage data and insights to delight customers
- Use core to launch a niche digital bank and reach new customer segments

Growth: With a state-of-the-art platform, banks gain the ability to continually gather customer data in a single centralized repository that all business lines can access. This will empower employees to glean valuable insights, upgrade operations and deepen relationships with customers through better visibility into their holistic financial situation.

Partnerships: A modern banking system supports seamless integration with fintechs and non-financial brands for banking-as-a-service partnerships. For example, mortgage lenders can offer customers a full spectrum of services such as property management, appraisals and other property-related needs.

Open-API architecture is a gateway to new revenue opportunities and growth. Banks and credit unions need a modern core to be ready to collaborate with different types of partners and join in the connected ecosystems that are the future of banking.

"Partnerships are becoming critical to creating the products and services of the future. Yet current architectures lack the connectivity to third parties that would enable innovation," according to McKinsey.

Innovation: With a modern core, banks can launch products quickly in lucrative markets without the burden of legacy architecture and multiple layers of arcane code. Integrated security and compliance assist with accelerated delivery of offerings like digital loan origination or a niche bank-in-a-box. A financial institution gains the ability to target a variety of markets through multiple brands all supported by a single modern core.

Customer experience: Engage with customers across their banking journey with a 360-degree view of their data for relationship building and tailored offers that suit individual customer needs. Delight millennial and Gen Z customers with frictionless account opening and onboarding that is integrated with CRM and marketing.



Digitize your core to elevate customer experiences

Banks and credit unions can swiftly transform their businesses by migrating to a modern, state-of-the-art platform with features like secure applicant portals and automated credit pull and KYC functions. Launching new products and services will be easier and faster, while the costs associated with running them will shrink. Meanwhile, customer relationships will evolve to a higher level given the enhanced ability to accumulate customer data and insights that can be leveraged for hyper-personalized CX.

With all-digital infrastructure, financial institutions gain the ability to offer cutting-edge products and services to be competitive with fintechs and brands while attracting a new generation of customers.

Become a fintech or launch a niche digital bank

Fintechs move fast, but there's no reason that banks and credit unions can't too, especially with the help of a strong technology partner. Traditional institutions have significant advantages over startups in that they can leverage their existing banking charter — and even become a fintech themselves. The right technology partner can help a financial institution experiment with lucrative fintech services that have tremendous upside, such as launching a niche bank or rolling out new partnerships to target particular markets.

With the flexible banking core systems now available, it's become possible to launch a digital bank on an astonishingly fast timeline. One South Florida community bank startup did just that in January 2022. Locality Bank worked with a skeleton staff out of a temporary co-working space in the Ft. Lauderdale area. The virtual bank used a secure cloud-native banking system with an open-API architecture customized by Nymbus.

The modernized banking platform that Nymbus delivers gives us the flexibility to meet the needs of our customers today and exceed them in the future.

— Corey LeBlanc, CTO
Locality Bank

The hyperlocal-focused community bank was able to start offering mobile and online banking services to small business customers within just 10 months of applying for its bank charter. It offers commercial banking, commercial real estate lending, business treasury services and other small business services that are needed in its community. In addition to the lightning-fast launch, Locality Bank will be able to leverage its modern core to easily iterate and roll out user-friendly new products and services.

"I love the Day 1 version of Locality Bank, but it's the fact that our Day 90 and Day 365 version will be significantly better because we are built on a banking platform designed for iteration," said Corey LeBlanc, Locality Bank's chief technology officer. "The modernized banking platform that Nymbus delivers gives us the flexibility to meet the needs of our customers today and exceed them in the future."

Test-drive a modern core before a full core conversion

PeoplesBank identified a need among young consumers for a simplified and streamlined digital banking experience. To serve this niche, the Holyoke, Massachusetts-based bank partnered with Nymbus to launch a wholly-separate digital bank, called Zynlo, that offered a range of mobile and online tools designed to appeal to millennial and Gen Z customers. With the flexible modular core, the new bank was able to add several custom features to help young people reach financial freedom. Some of the popular features include faster access to paycheck funds, rewards on debit card purchases and a spare change savings feature.

"Zynlo has a very unique round-up-and-match product, Zyng, which Nymbus built very quickly. They knew that Zyng was the biggest differentiator for Zynlo, and because it was important to PeoplesBank, it was important to them, says Aleda DeMaria, PeoplesBank's executive vice president of consumer banking and operations.

The Zynlo launch was a positive test-drive experience that gave PeoplesBank the opportunity to become deeply familiar with the capabilities of a modern core. In 2021, PeoplesBank elected to partner again with Nymbus to completely rebuild its main bank infrastructure and migrate to a modern, API-first, cloud-native core solution.

"Nymbus's cloud-based, open and extremely flexible platform is one of the many reasons we knew PeoplesBank and Nymbus could have a very successful and lasting partnership," says Brian Canina, PeoplesBank's executive vice president and chief of finance and shared services. "Additionally, their emphasis on product development and robust, innovative roadmaps for state-of-the-art integrations and enhancements made it clear they were not the typical legacy core provider."

By greatly streamlining back-end processes, PeoplesBank's new core will transform its business and enable it to quickly offer cutting-edge services to customers while lowering costs.

The Banking-as-a-Service (BaaS) movement

A modern banking core speeds opportunities to dive into the great BaaS movement. All indications point to this growing trend of financial services, like payments, purchase and point-of-sale loans, increasingly being embedded in the daily lives of consumers. Many fintech startups and nonbank brands are seeking to develop relationships with bank partners in an interdependent ecosystem. Banks and credit unions need to be technologically ready to offer reliable and scalable back-end systems in order to successfully partner.

"Banking-as-a-Service (BaaS) platforms provide more financial transparency options by letting banks open up their APIs for third parties to develop new services. Tech-savvy legacy banks can fend off the encroaching threat of fintechs by moving into the BaaS space to share their data and infrastructure," according to Insider Intelligence.

Banks with modern core infrastructure will be able to transform the competitive threat from fintechs into lucrative opportunities to partner with them and collect fees from providing BaaS platforms. Fintechs and lifestyle brands greatly prefer to work with banks that have open API and the ability to move quickly to help them bring products to market fast. What's more, fintechs want to avoid the disastrous results that can occur when a partner bank isn't fully equipped to handle fast growth. An unfortunate case occurred when the neobank Chime suffered blows to both its bottom line and reputation when its sponsor bank wasn't able to keep up with its demands and Chime had to pivot to additional sponsor banks. Some customers of the banking app found their spending accounts suddenly and messily suspected, leaving them with no way to access their deposits — a situation no brand wants to be associated with.

In an ever-evolving environment, traditional banks and credit unions will be able to move as quickly as fintechs with the backing of a modern banking core. Whether adding a state-of-the-art core in parallel or undertaking a full core conversion, having the back-office capabilities that are flexible and scalable unlocks a bank's potential to innovate and scale in a rapidly changing market. A modern core from Nymbus unlocks a bank's potential and can enable financial institutions to be prepared for new opportunities, new markets and new partnerships.

To learn more about how a modern core can work for your bank or credit union, visit Nymbus at www.nymbus.com.